

December 2025

Introduction

On 23 August 2024, the Minister for Agriculture, Fisheries and Forestry, the Hon Julie Collins MP announced Dr Craig Emerson would lead an independent impact analysis of the wine and grape sector's regulatory options and examine whether there is market failure. The government agrees with Dr Emerson's leading recommendation and will introduce a mandatory code of conduct for winegrape purchases by 1 January 2027.

Dr Emerson's review was a key recommendation of the Viticulture and Wine Sector Working Group, which was convened by Agriculture Ministers in March 2024 to advise on challenges facing growers and actions supporting improvement in the wine and grape sector for its long-term viability.

On 14 July 2025, the [Review of regulatory options for the wine and grape sector](#) was released. Dr Emerson's report found that growers have weak bargaining power, leading to unfair trading practices. Dr Emerson found the current voluntary code is unenforceable and inadequate and that a mandatory code is the only viable option. Dr Emerson's leading recommendation was the voluntary Code of Conduct for Winegrape Purchases should be made mandatory and enforceable by the Australian Competition and Consumer Commission (ACCC).

These issues are not new and are consistent with previous reviews. The ACCC conducted a Market Study in 2019 and a Follow-up Review in 2021. The ACCC concluded, that bargaining power imbalances and contracting practices between growers and winemakers were leading to inefficient outcomes in grape production and pricing. The ACCC made a number of recommendations to seek to improve industry contracting practices and to foster stronger competition between winemakers. The Senate Rural and Regional Affairs and Transport Committee also investigated these issues on 2 occasions, 20 years apart (in 2005 and 2025) and has twice recommended a mandatory code of conduct be established.

The threshold for regulatory intervention remains high. Government must always consider whether there is market failure and whether the benefits of taking regulatory action outweigh the costs. Government must also consider whether the intervention could give rise to any unintended consequences. The Government has weighed up the potential costs and benefits and considered the recommendations of Dr Emerson's Review as well as the recommendations of previous inquiries over a number of years. It has determined that there is market failure in parts of the wine industry and there is a case for regulatory intervention.

The government accepts Dr Emerson's recommendation and proposes to introduce a mandatory code of conduct for winegrape purchases. In doing so, the Government will work closely with the wine and grape sector to ensure the proposed code is fit for purpose. The Government proposes to undertake a review of a mandatory code after two years of operation.

The Government thanks Dr Emerson for his thorough consultation with the grape, wine and retail sector, as well as his detailed and comprehensive analysis.

Australian Government response to Emerson review

Responses against a given recommendation fall within one of the following defined categories:

Table 1 Explanation of responses

Response	Explanation
Agree	The government agrees to this recommendation, and relevant details of proposed implementation approach as detailed.
Agree in principle	The government generally supports the recommendation but does not necessarily agree with certain details in the recommendation.
Note	The government considers no specific action or response is necessary to this recommendation.

Table 2 Australian Government responses to recommendations

Recommendation	Australian Government response
	Agree
Recommendation 1 – Make the voluntary code of conduct mandatory	The Government agrees to progress a mandatory Code of Conduct for Winegrape Purchase for all large winemakers, including those who purchase grapes exceeding a three-year moving average of 2,000 tonnes per annum.
The voluntary Code of Conduct for Winegrape Purchases should be replaced with a mandatory Code of Conduct for Winegrape Purchases (mandatory Code).	The mandatory Code will be modelled broadly on the voluntary Code.
All winemakers whose purchases of grapes exceed a three-year moving average of 2,000 tonnes per annum should be subject to the Code. Except where a recommendation expressly requires a change in the terms of the current voluntary Code of Conduct, these terms should be carried across to the mandatory Code of Conduct.	The final scope, application and detail of the Code will be determined following consultation with industry.
Recommendation 2 – Earlier price offers for inland grapes	Agree
The mandatory Code should require winemakers to decide on an offer price for each grape variety they seek under	The Government agrees that the mandatory Code should require winemakers to make earlier, binding

contract from the warm inland regions of the Riverland, the Murray Darling and Swan Hill regions and the Riverina.

All offer prices should be notified to Wine Australia, which would collate these prices and publish them simultaneously on the first Wednesday of October each year.

offers for each grape variety they seek under contract from the Riverland, Murray Darling and Swan Hill, and Riverina regions and that these that these offer prices should be made public.

Recommendation 3 – Mandatory survey participation to inform Grape Price Indicators dashboard

Participation in the National Vintage Survey and the Production Sales and Inventory Surveys should be compulsory for all winemakers subject to the mandatory Code, to improve the accuracy of the Grape Price Indicators dashboard and to further increase price transparency and assist growers and winemakers in making informed business decisions.

Agree

The Government agrees participation in the National Vintage Survey and the Production Sales and Inventory Surveys should be compulsory to support the operation of the Code, ensure price transparency and assist growers and winemakers in making informed business decisions.

Recommendation 4 – Publication of payment terms

All winemakers covered by the mandatory Code should be required to notify Wine Australia of their payment terms, which Wine Australia would publish on the first Wednesday in October each year. If, after two years of operation of the mandatory Code, payment terms and associated payment times have not improved materially, all winemakers subject to the Code should be required to pay growers in full within 30 to 60 days of the end of the month of the final delivery of grapes.

Agree in principle

The Government agrees winemakers covered by the mandatory Code should be required to publish their payment terms.

The Government notes the complex nature of payment practices within the wine and grape sector and is mindful of the unintended consequences that could result from mandated payment times.

In this context, the Government will monitor payment practices as part of reviewing the mandatory Code and carefully consider whether future improvements can be made.

Recommendation 5 – Price deductions must refer to an objective parameter

Objective standards for grape assessment of maturity, purity, condition and other grape parameters relating to quality – as contained in the existing voluntary Code – should be specified by winemakers subject to the mandatory

Agree in principle

The Government agrees that objective standards for grape assessment of maturity, purity, condition and other grape parameters relating to quality – as contained in the existing voluntary Code

Code in their contracts with grape growers. For grapes purchased by winemakers subject to the mandatory Code, any deductions from the offer price, or any other adverse decisions such as rejection of the grapes, must be done with reference to at least one objective assessment parameter.

Recommendation 6 – Greater protections against retribution

The mandatory Code should place greater emphasis on addressing the fear of retribution by including protection against retribution in the purpose of the Code and ensuring that retribution captured under the obligation to act in good faith includes action taken against suppliers for exercising their rights under the Code.

Recommendation 7 – An anonymous complaints channel to the ACCC

An anonymous complaints mechanism should be established to enable suppliers and any other market participants, including winemakers supplying to retailers, to raise issues directly and confidentially with the ACCC.

Recommendation 8 – Mediation and arbitration built into the Code

The mandatory Code should provide parties with avenues for mediation and arbitration to resolve disputes.

The working group referred to in Recommendation 14 should identify a suitable entity to take on the function of receiving notifications of disputes.

– should be specified by winemakers subject to the mandatory Code in their contracts with grape growers.

Any deductions from the offer price, or any other adverse decisions such as rejection of the grapes, must be clearly communicated to growers before any price deduction or adverse decision is made.

Agree

The Government agrees the mandatory Code should include protection against retribution in the purpose of the Code and ensure that retribution captured under the obligation to act in good faith includes action taken against suppliers for exercising their rights under the Code.

Agree

The Government agrees that an anonymous complaints mechanism should be available to enable suppliers and any other market participants, including winemakers supplying to retailers, to raise issues directly and confidentially with the ACCC.

Agree

The Government agrees the mandatory Code should provide parties with appropriate avenues to resolve disputes.

Recommendation 9 - No anti-competitive terms in contracts The mandatory Code should include a requirement that all supply agreements and purchase orders:	Agree in principle The Government agrees all supply agreements should be fair for growers and winemakers and notes the existing protections within the Australian Consumer Law, contained in Schedule 2 of the Competition and Consumer Act 2010, regarding unfair contract terms.
Recommendation 10 – Transparent labelling practices The large liquor retailers that sell own-brand wine – Endeavour Group and Coles Group – should indicate on the back of their wine labels their ownership of the wine, to enable customers to readily identify the wine as an own-brand product. If satisfactory compliance has not been achieved after two years, consideration should be given to the development and application of an Information Standard to enforce compliance.	Agree in principle The Government encourages retailers that sell own-brand wine to indicate on the back of their wine labels their ownership of the wine, to enable customers to readily identify the wine as an own-brand product.
Recommendation 11 – Accessible sales data and market reads Coles Group and Endeavour Group should collaborate with appropriate companies, such as Circana and Quantum, to ensure smaller independent winemakers receive their own sales data and market insights free of charge and, for larger winemakers, at a reasonable price. Coles Group and Endeavour Group should ensure such data is obtainable at the same level of granularity as the granularity of data provided to them for their own-brand wine labels.	Agree in principle The Government encourages industry to provide smaller independent winemakers their sales data and market insights free of charge and, for larger winemakers, at a reasonable price.
Recommendation 12 – Review the WET A review of the Wine Equalisation Tax (WET) and WET rebate should be undertaken by relevant Australian government agencies to ensure they are still meeting policy objectives without unintentionally providing advantages for vertically integrated grape producers, winemakers and wine retailers.	Noted The Government notes this recommendation and continues to monitor the appropriateness of existing taxation settings, including for how wine is taxed in Australia.

Recommendation 13 – ACCC should be adequately resourced

Agree in principle

The ACCC should be given adequate resources to enforce the Code and the other recommendations of this Review (without the Department of Agriculture, Fisheries and Forestry being expected to provide those resources from within its existing budget).

The Government supports an adequately resourced ACCC. The Government considers all resourcing through the usual Budget processes.

Recommendation 14 – A working group should guide implementation

Agree

A working group should be established to implement the recommendations of this Review that are accepted by the Australian government, led by the Department of Agriculture, Fisheries and Forestry and including representatives of the ACCC and Treasury and relevant state government agencies, along with representatives of Wine Australia.

The Government agrees that the Department of Agriculture, Fisheries and Forestry should establish a working group to implement the recommendations. The Government will determine appropriate membership.

Source: <https://www.agriculture.gov.au/about/reporting/obligations/government-responses/regulatory-options-wine-and-grape-sector>